

THE CXOs

Key personnel helping the various verticals of the Reliance-Disney Media Joint Venture



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HD, Colors Super (Kannada entertainment), Hungama and Super Hungama (for children).

CLEANING UP THE CRICKET MESS

Disney, which acquired Star India in 2019, reported a loss of ₹12,548 crore on operating revenues of ₹18,587 crore for FY24. It had reported a net profit of ₹1,465 crore in the previous year. How did this happen? Disney India's bet on cricket rights.

In August 2022, Disney forked out \$3 billion for the ICC rights—TV and digital—for 2024-27. It sub-licensed the TV part in a deal with Zee Entertainment Enterprises Ltd (Zee). But Zee was betting on its merger with Sony for the financial muscle to pay for the deal. When the merger talks collapsed, Zee found it tough to honour the commitment. Now, the Disney-Zee deal has gone into arbitration (there is a \$940-million demand for damages but Zee is contesting it). Disney had to set aside ₹12,319 crore for the ICC deal, which it now calls an “onerous contract”.

That is only one part of the story.

The Reliance-Disney deal was first announced this February. The deal valued the Burbank-headquartered Disney's 36.4% holding in the venture at just over \$3 billion. In a report, Emkay Global, a research and brokerage house, noted that the valuation was significantly lower than the estimated \$15-17 billion when Disney acquired 21st Century Fox in March 2019 “and also much lower than earlier media estimates of \$7-10 billion”. The drop “reflects the growing anticipated losses from its sports business, where rights costs have increased substantially”. The financial numbers for the Indian business would be filed much later, but the apprehension was evident.

That was eight months after bidding for the IPL media rights for 2023-27 had ended. Disney was expected to go all out for the digital rights (given the medium's potential) and be less aggressive on TV. As it turned out, Viacom18 clinched the digital rights for ₹23,758 crore, and a somewhat conservative Disney picked up the TV rights for ₹23,575 crore—adding to the intrigue was a difference of just ₹183 crore between the two buyouts. That was merely an indication of what lay ahead.

Then Reliance offered the IPL 2023 season free on the OTT platform JioCinema. The Reliance gambit sank Disney's TV model. Disney had to offer the T20 World Cup 2024 (won through the ICC bid) free on the Disney+ Hotstar app. Disney got Hotstar in 2019 when it bought 21st Century Fox, parent of Star India, but failed to capitalise on it.

“The prime reason for the buyout in India was Hot-